

Weekly Market View

Inching towards a stalemate

→ US President Trump's plan to end military operations in the Middle East within 2-3 weeks has eased fears of a drawn-out conflict. However, uncertainty remains about a near-term escalation in the conflict and when normal shipping through the Hormuz Strait will resume.

→ Trump stated the responsibility for reopening the strait now falls to Asian and European governments, whose economies depend heavily on Gulf energy supplies. This signals tough negotiations ahead.

→ In this environment, we prefer investments in quality stocks with robust profit margins and earnings moats, especially within technology and utilities sectors.

→ We also see opportunities to secure elevated yields in US government and high-grade corporate bonds. As focus shifts from short-term inflation driven by higher oil prices to medium-term risks for growth and employment, these strategies are expected to outperform.

Bullish US equities – history shows elevated VIX levels followed by strong returns

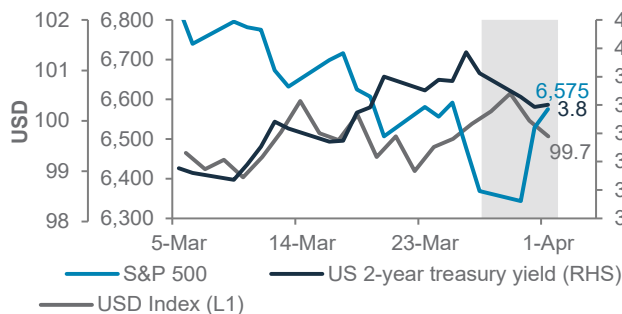
Bullish US aerospace and defence equities – airline recovery, defence spending

Bearish USD/JPY – JPY to benefit from BoJ rate hikes to counter inflation pressures

Charts of the week: Growth vs inflation concerns

Markets starting to price easing stagflation risks (see shaded area LHS) as long-term inflation expectations stay anchored

S&P500 index (up), US 2y yield (down), USD index (down)



US 1-year and 1y1y inflation expectations; Fed inflation target*



Source: Bloomberg, Standard Chartered; *2.3-2.5% inflation expectations based on CPI is consistent with the Fed's 2% PCE inflation target

Editorial

Inching towards a stalemate

Strategy summary: US President Trump's plan to end military operations in the Middle East within 2-3 weeks has eased fears of a drawn-out conflict. However, uncertainty remains about a near-term escalation in the conflict and when normal shipping through the Hormuz Strait will resume. Trump stated the responsibility for reopening the strait now falls to Asian and European governments, whose economies depend heavily on Gulf energy supplies. This signals tough negotiations ahead.

In this environment, we prefer investments in quality stocks with robust profit margins and earnings moats, especially within technology and utilities sectors. We also see opportunities to secure elevated yields in US government and high-grade corporate bonds. As focus shifts from short-term inflation driven by higher oil prices to medium-term risks for growth and employment, these strategies are expected to outperform.

Inching towards a stalemate: President Trump's intention to wind down Middle East military operations aligns with our base scenario of a brief conflict. Our 'pain indicator', which combines US equity and bond indices with presidential approval ratings, last week signalled a high likelihood of de-escalation after crossing a key threshold. However, reports of increased US troop deployments sustains the risk of renewed hostilities. The geopolitical situation therefore remains fluid, with escalation still possible, even as official statements lean towards resolution.

Demand for 'high moats': Amid heightened uncertainty, we prefer technology and utilities sectors that feature a concentration of high-quality stocks with strong margins and earnings. The US technology sector, in particular, offers attractive valuations. The recent market downturn has reduced the sector's forward price/earnings (P/E) premium to the S&P 500 index to below 5%, its lowest since January 2019 and down from a 35% premium in October 2025. Historical data shows that when the premium falls within the 4-6% range, returns over the next 3, 6, and 12 months have averaged 5%, 13%, and 19.7% respectively. The upcoming US Q2 corporate earnings season may support a recovery, especially if Middle East

tensions ease. A diversified portfolio anchored by these sectors is expected to weather volatility and deliver strong medium-term performance.

Chance to lock in elevated bond yields: There are early signals policymakers and bond markets are starting to focus more on the conflict's impact on economic growth than on inflation. Fed Chair Powell stated this week that the central bank can look past a temporary spike in oil prices as long as inflation expectations are steady. This led to a retreat in the US 2-year government bond yield, which reacts to rate changes. The renewed emphasis on supporting growth strengthens our base case that the Fed will eventually cut rates in H2 to revive the job market. Locking in the currently elevated yields on high-quality bonds offers a favourable risk-reward trade-off.

Risk of a prolonged shutdown of Hormuz Strait: Even if the US withdraws its forces from the Middle East this month, Trump's proposal for Asia and Europe to negotiate with Iran about reopening Hormuz Strait traffic may result in protracted talks. Iran's parliament has passed legislation allowing the government to levy tolls on all vessels passing through the strait. With more than 80% of oil and gas shipped via the strait destined for Asian economies (China, India, Japan, South Korea), these nations must work with Iran and Gulf producers to establish a lasting transit agreement. Prediction markets currently give only a 14% chance that shipping traffic will return to normal by the end of April, reflecting ongoing uncertainty.

Hedging against risk of higher oil and gas prices: If the Hormuz Strait remains closed for long, energy prices are likely to rise. The strait normally accounts for c. 20% of global oil supply, but rerouting Saudi and UAE crude through alternative pipelines, releasing strategic reserves, and Iran's continued exports have temporarily cut the global shortfall to 8%. Still, without a quick resolution, oil prices are likely to rise as strategic reserves and floating stockpiles dwindle in a few weeks and supply struggles to match demand. To hedge against this risk, oil price-linked structured strategies, energy sector equities and US inflation-protected bonds remain prudent choices.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

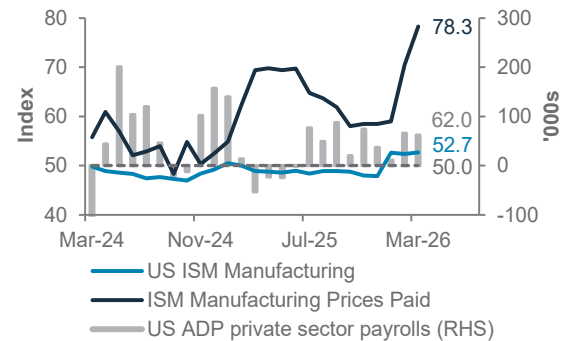
(+) factors: Resilient US manufacturing (mfg.) data and China activity; less hawkish Fed; likely easing of conflict

(-) factors: Weak US job data; likely BoJ hike; Hormuz strait uncertainty

	Positive for risk assets	Negative for risk assets
Macro data	- US ISM manufacturing PMI and Conference Board consumer confidence rose unexpectedly in March - US ADP private payrolls rose more than expected by 62,000 in March - Euro area headline and core consumer inflation rose less than expected - China mfg and non-mfg PMIs rose unexpectedly	- US ISM manufacturing prices paid index rose more than expected to 78.3 - US JOLTS job openings fell more than expected to 6.88m - Euro area economic confidence came in slightly below estimates - Euro area unemployment rate increased to 6.2%
	Our assessment: Neutral – Resilient US manufacturing and China activity data vs. weak US job openings, rising mfg. costs	
Policy developments	- Fed Chair Powell signalled no rate hike as long as long-term inflation expectations remain well-anchored - China's central bank signalled maintaining appropriately loose monetary policy	- Fed's Williams said monetary policy is well positioned amid uncertainty - BOJ's March meeting summary reflected a hawkish tilt, with debate on size of rate hike
	Our assessment: Neutral – Less hawkish Fed vs. potential BoJ hike	
Other developments	- President Trump, while warning of a near-term escalation in the Iran conflict, said the US could end the conflict in two-to-three weeks - Iran's president said Iran has necessary will to end conflict if guarantees prevent repeat attacks	- Trump said the US will leave it to other nations to negotiate free flow of Hormuz shipping traffic - US Secretary Rubio warned US may reassess NATO ties over lack of support during US-Iran conflict - China launched two trade investigations against the US, followed by probes initiated earlier by the US
	Our assessment: Neutral – Likely easing of Middle East conflict vs. Hormuz strait uncertainty	

US ISM manufacturing PMI strengthened in March, while the prices paid sub-index rose to the highest level since June 2022, signalling accelerating input cost inflation

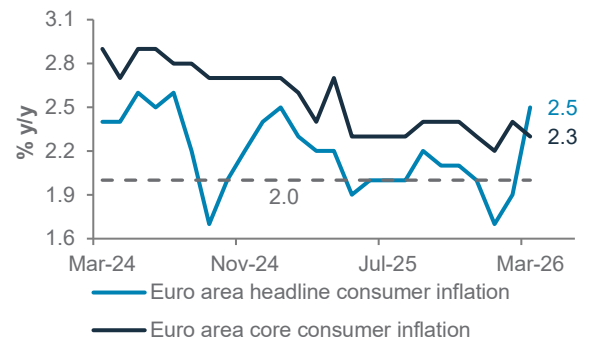
US ISM manufacturing and manufacturing prices paid indices, US ADP private sector payrolls



Source: Bloomberg, Standard Chartered

Euro area headline inflation accelerated to 2.5% y/y in March, driven by a sharp rise in energy prices

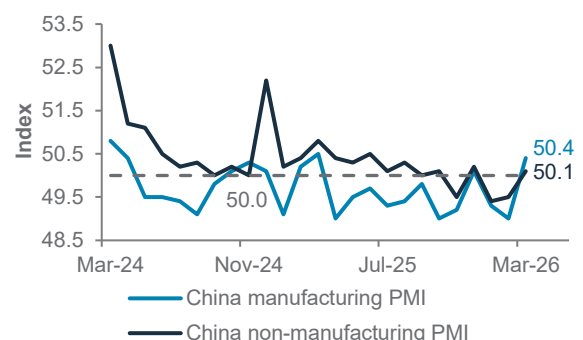
Euro area headline and core consumer inflation



Source: Bloomberg, Standard Chartered

China's factory activity growth returned to positive territory, with manufacturing and non-manufacturing PMIs rising above expectations

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q What are EU CPI and comments from Fed Chair Powell this week telling us about the likely ECB and Fed policy pathways?

Our view: *Given our base-case view of a relatively short period of high oil prices, we expect the ECB to keep rates unchanged but hold a hawkish bias. We see the Fed resuming policy rate cuts in H2 2026 as it refocuses on labour-market weakness.*

Rationale: The Eurostat flash estimate showed Euro area headline inflation rising to 2.5% y/y in March, from 1.9% in February. This increase was driven by a 4.9% surge in energy prices, directly linked to the Middle East conflict. While we anticipate the ECB will keep policy rates on hold through 2026, the key risk scenario is an extended conflict that keeps energy prices elevated for several months and pushes inflation towards 4%. Given a tight labour market, this could force the ECB to hike rates. That said, **any energy-price-driven inflation spike is likely to be self-limiting**, as it ultimately erodes disposable incomes and weighs on growth.

Meanwhile, in the US, Fed Chair Powell's 30 March remarks at Harvard noted that the Fed is in a "good place" to "wait and see" how the Iran crisis affects the economy and inflation. He said that **policymakers can "look through" temporary oil-price shocks**. This reinforces our view that the Fed will remain on hold in H1 2026, despite inflation remaining above target. We expect the Fed to resume policy rate cuts in H2 2026 as the Middle East conflict de-escalates and attention shifts back to labour-market weakness.

— Ray Heung, Senior Investment Strategist

Q How would an extended Middle East conflict affect your Overweight views on Emerging Market (EM) government bonds and Developed Market High Yield (DM HY) bonds?

Our view: *While not our base case, an extended Middle East conflict scenario would pose a downside risk to EM govt. bonds (both local-currency and USD) and DM HY corporate bonds.*

Rationale: While not our base case, a prolonged Middle East conflict scenario would generate **higher inflationary pressures and slow global economic growth**. Higher commodity costs would strain external balances, currencies and fiscal positions in oil-importing EM economies. While individual EMs may still do well in this scenario, a broad EM overweight view would face downside risk. DM HY corporate bonds would face similar headwinds, as elevated energy costs compress margins (particularly in cyclical and consumer-facing sectors), raising default risks amid slowing growth. Although the energy sector may benefit, it represents less than 10% of the overall DM HY universe. In a risk-off environment, DM HY yield premium spreads would likely widen.

— Ray Heung, Senior Investment Strategist

Markets have repriced policy rate expectations higher in the US and the Euro area since the Middle East conflict began

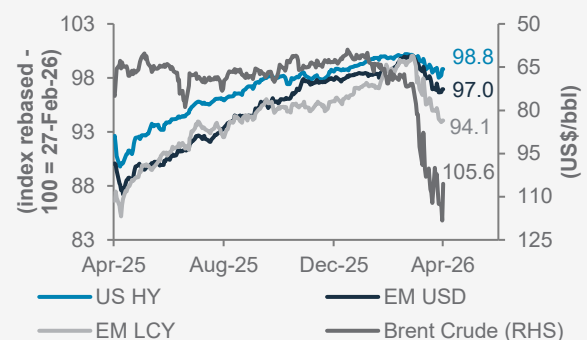
Market-implied policy rates for the US and Euro area by year-end 2026



Source: Bloomberg, Standard Chartered

EM USD & local currency (LCY) government bonds, US HY bonds have fallen since the onset of the Middle east conflict

Total index return of US HY corporate bonds and EM USD and LCY government bonds, rebased. Brent crude oil price (inverted)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What drove US aerospace & defence (A&D) equity weakness? What are the key sector catalysts and risks?

Our view: *A&D sector consolidation provides an opportunity to add amid supportive fundamentals.*

Rationale: The retreat in the A&D sector since March has been largely driven by three factors. First, the prolonged conflict has forced US airlines to **scale back Middle East operations**, a critical global transport hub routing approximately 30% of Asia-Europe air cargo. Second, the spike in oil prices is expected to **compress profit margins** across major airlines, as most US carriers have abandoned fuel hedging. Third, much of the short-term anticipated upside from rising military equipment demand linked to the Middle East conflict appears to have been priced in.

That said, we retain a positive view on the sector. Our base case remains for the conflict to de-escalate in a few weeks, supporting a recovery in commercial aerospace activity and easing oil prices. In addition, geopolitical developments since 2026 suggest a potential ramp-up in US diplomatic engagement ahead of the midterm elections and renewed focus on defence priorities. President Trump announced military spending of USD 1.5trn for 2027, a 50% increase from this year's budget. 12-month forward earnings growth of over 40% also provides a strong tailwind for a sustained sector recovery.

— **Michelle Kam, CFA**, Investment Strategist

Q Has Japan's recent soft data changed your Bank of Japan (BoJ) policy rate expectation? What is your view on USD/JPY?

Our view: *Recent data has not altered our expectation that BoJ rates are likely to reach 1.25% by 2026 year-end. We remain bearish on USD/JPY.*

Rationale: Tokyo's March inflation cooled slightly to 1.4% y/y, its slowest pace in nearly two years, driven primarily by a moderation in food costs. Consumer prices, excluding fresh food, rose by 1.7% y/y, marking the smallest increase since April 2024. However, the BoJ has indicated that this slowdown is likely temporary, with the Middle East conflict, in particular, posing inflationary risks. We see BoJ rates reaching 1.25% by year-end 2026.

Meanwhile, we expect USD weakness to resume, especially if President Trump indeed follows through on his comments to end the conflict soon. Additionally, US consumer confidence unexpectedly rose to 91.8 in March, from 91.0, but the measure of expectations for the next six months fell.

Technically, USD/JPY is forming a significant resistance zone at 160-161. We see the pair facing downside risk, with support at 155.9 (200-day moving average) in the coming week.

— **Iris Yuen**, Investment Strategist

Aerospace & Defence sector equities likely to gain, driven by solid earnings growth

US Aerospace & Defence Index and its 12-month forward earnings growth



Source: FactSet, Standard Chartered

USD/JPY is exposed to downside risk

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How significant a risk is helium supply for the semiconductor sector? What are the likely catalysts for a turnaround in sector sentiment?

Our view: We see helium supply as a manageable risk in the near term. We remain positive on global semiconductors, driven by sustained AI capital expenditure (capex), which should be reiterated in the Q1 2026 earnings season.

Rationale: Helium is essential in semiconductor manufacturing processes, primarily due to its cooling properties. The ongoing closure of the Strait of Hormuz is significantly disrupting global helium supply, given Qatar accounts for 25% of global reserves. Our supply-chain checks for the semiconductor industry suggest that there is sufficient inventory for about 3-6 months, limiting the risk of severe near-term disruptions. The most immediate impact is likely via price escalation. Helium accounts for about 0.3% of a semiconductor wafer's cost. During the Russia-Ukraine conflict, neon prices surged nearly 10x in early 2022, so a similar price spike in helium would erode profit margins for semiconductor producers.

A reopening of the Strait of Hormuz would be a positive catalyst for the chip industry, as supply chain concerns would ease. In addition, we expect the upcoming Q1 2026 earnings season to reiterate strong AI capex plans, which would be a fundamental catalyst for the semiconductor industry to move higher.

— Fook Hien Yap, Senior Investment Strategist

Q How have US equities performed historically in the ensuing 12 months after the Volatility Index (VIX) hit 30, 40 and 50+?

Our view: The VIX closing above 30 signals market stress, but such episodes have historically been short-lived, preceding strong recoveries – with S&P500 forward 12-month returns averaging 29%, far above the 14% long-term average.

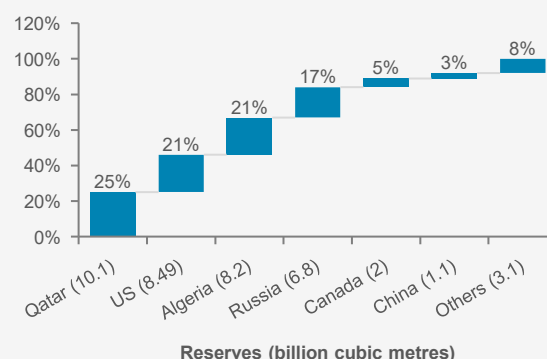
Rationale: The CBOE VIX closing above 30 last week rekindled market volatility concerns. Historically, the 30-level threshold signalled market dislocation; since 2016, the VIX has closed above 30 on around 6% of trading days, primarily during the 2020 pandemic and the 2022 inflationary drawdown. That said, it is important to note that such episodes of heightened uncertainty have historically proven short-lived, absent extreme macroeconomic conditions.

When the VIX closed above 30, the S&P500 has historically delivered average 12-month forward returns of 29%. This rises to 52% and 57% when the VIX surpasses 40 and 50, respectively – well above the unconditional 10-year average of 14%.

— Jason Wong, Senior Equity Analyst

Qatar holds the largest reserve of helium globally, but we expect inventory levels to be sufficient to cope with near-term supply disruptions

Distribution of helium reserves globally



Source: USGS, Bloomberg Intelligence, Standard Chartered

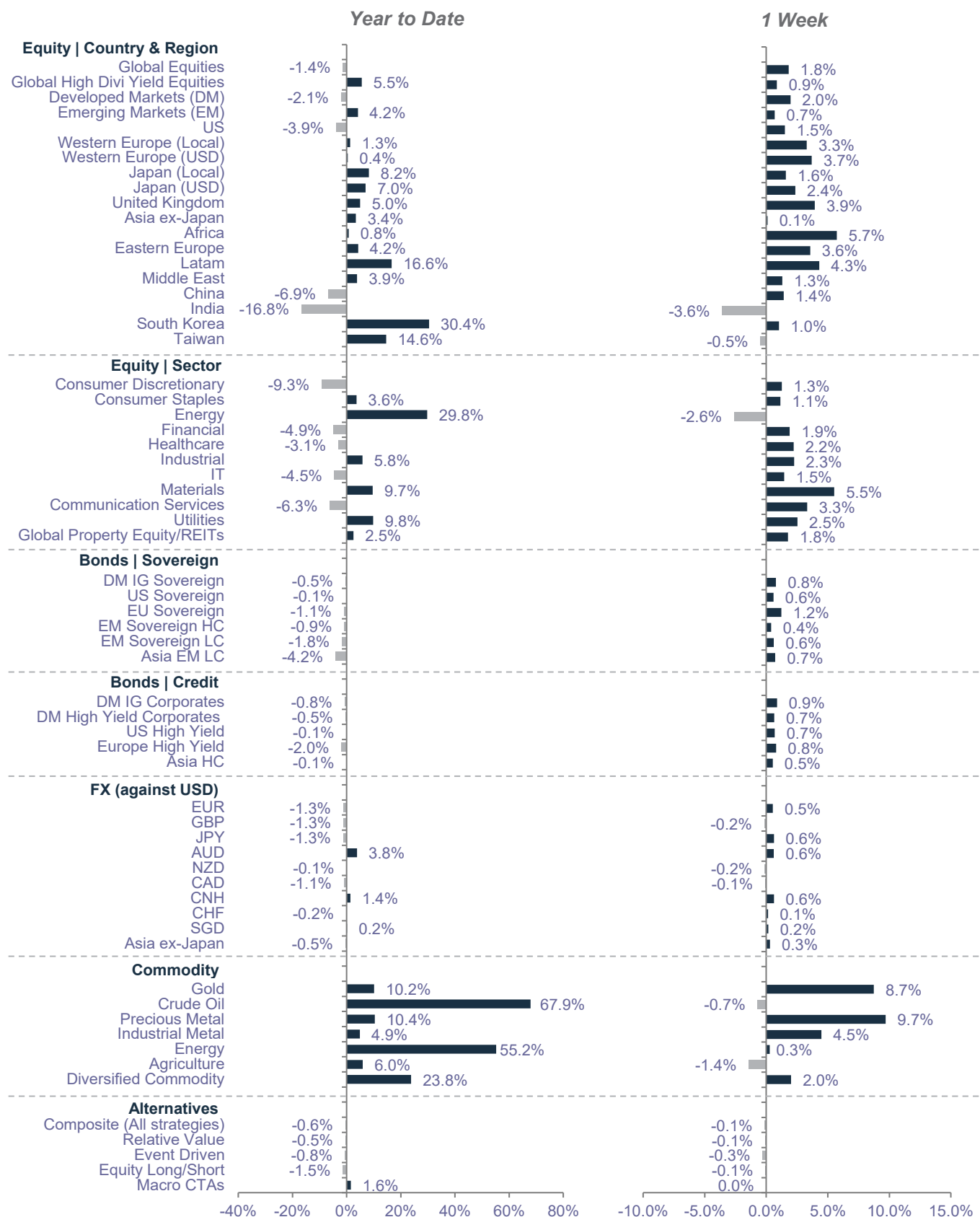
The S&P500 VIX index closing above the 30 level has historically been short-lived and has preceded strong recoveries

VIX and S&P500 Index 12-month forward return

	Number of days VIX closed > 30	S&P500 12m forward return
2016	0	–
2017	0	–
2018	5	22.0%
2019	0	–
2020	80	44.6%
2021	6	8.7%
2022	47	5.6%
2023	0	–
2024	1	21.5%
2025	12	–
2026	2	–
Since 2016	153	28.9%

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 1 April 2026; 1-week period: 26 March 2026 to 1 April 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ▼	US Healthcare ▲
UK ▼	US Utilities ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	
Other EM ◆	China Communication ▲
	China Technology ▲
	China Healthcare ▲
Bonds ▼	
Credit	Alternatives ◆
Asia USD ◆	
Corp DM HY ▲	
Govt EM USD ▲	Gold ▲
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 6,879

Technical indicators for key markets as of 1 Apr close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	6,575	6,294	6,879	19.6	1.3
STOXX 50	5,733	5,377	6,087	15.0	3.2
FTSE 100	10,365	9,720	10,960	13.2	3.5
TOPIX	3,671	3,446	3,897	16.8	2.4
Shanghai Comp	3,949	3,763	4,166	13.2	3.0
Hang Seng	25,294	24,197	26,397	10.9	3.4
Nifty 50	22,679	21,646	24,351	17.2	1.7
MSCI Asia ex-Japan	942	879	1,022	11.7	2.4
MSCI EM	1,458	1,363	1,576	11.2	2.9
Crude oil (WTI)	100.1	73.1	123.3	na	na
Gold	4,759	4,099	5,419	na	na
UST 10Y Yield	4.32	4.00	4.56	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	ISM Services Index	Mar	54.9	56.1
TUE	EUR	Sentix Investor Confidence	Apr	–	-3.1
	USD	Durable Goods Orders	Feb P	–	0.0%
WED	NZD	RBNZ Official Cash Rate	8-Apr	–	2.3%
	IND	RBI Repurchase Rate	8-Apr	–	5.3%
	EUR	PPI y/y	Feb	–	-2.1%
	EUR	Retail Sales y/y	Feb	–	2.0%
THU	USD	Personal Income	Feb	–	0.4%
	USD	PCE Price Index y/y	Feb	–	2.8%
	USD	Core PCE Price Index y/y	Feb	–	3.1%
	USD	GDP Annualized QoQ	4Q T	–	0.7%
FRI/SAT	CNH	PPI y/y	Mar	–	-0.9%
	CNH	CPI y/y	Mar	–	1.3%
	USD	CPI y/y	Mar	–	2.4%
	USD	Core CPI y/y	Mar	–	2.5%
	USD	U. of Mich. Sentiment	Apr P	–	53.3

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 1 Apr close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.69
Global Equities	●	↑	1.76
Gold	●	↑	1.59
Equity			
MSCI US	●	→	1.56
MSCI Europe	●	↑	2.47
MSCI AC AXJ	●	↑	1.78
Fixed Income			
DM Corp Bond	●	↑	1.94
DM High Yield	●	↑	1.85
EM USD	●	↑	1.72
EM Local	●	↑	1.64
Asia USD	●	↑	2.17
Currencies			
EUR/USD	●	↑	1.61

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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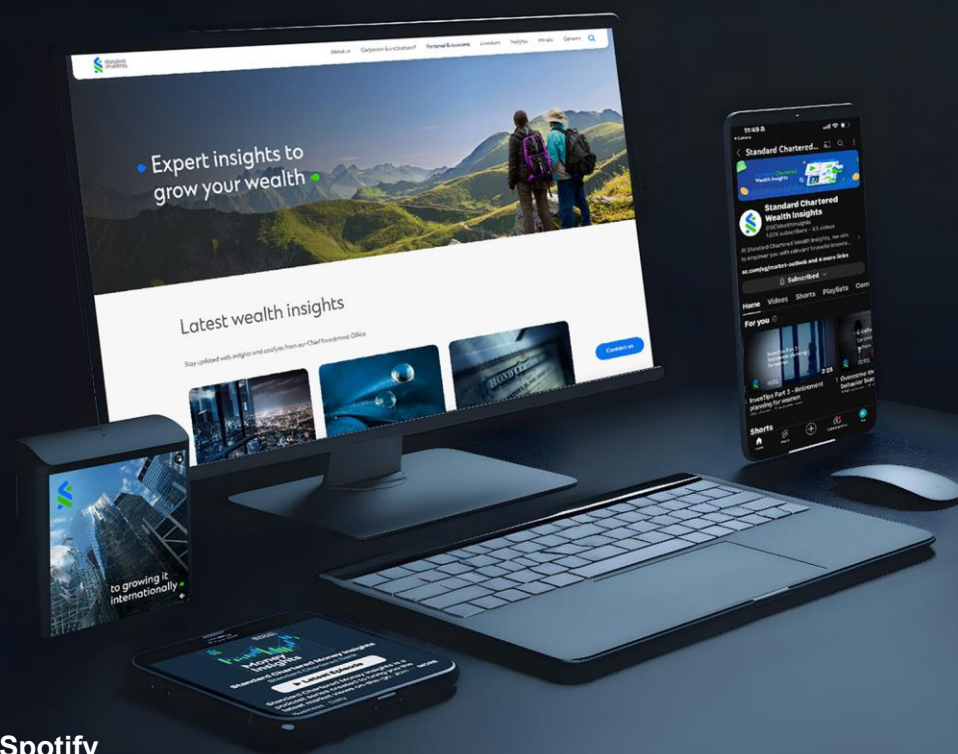
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Weekly Market View

Getting closer, but not all clear

→ As the Middle East conflict enters its fifth week, the outlines of a potential resolution are beginning to emerge. The US has initiated ceasefire proposals, signalling that Washington is approaching its political and economic pain threshold.

→ However, Iran has publicly resisted these overtures, maintaining its blockade of the Strait of Hormuz and keeping energy prices elevated. In our view, a ceasefire and quasi-normalisation of traffic through the strait remains weeks away.

→ Given this, we remain invested in a well-diversified portfolio, while selectively capitalising on dislocations created by market volatility.

→ We would lean into the latest bond yield surge and average into bonds, especially in the US, where the Fed is likely to cut rates in H2 to revive a weak job market. We also see an opportunity to average into gold after the liquidity-driven sell-off.

Bullish global ex-US buyback equity theme – outperforms during rising stagflation risks

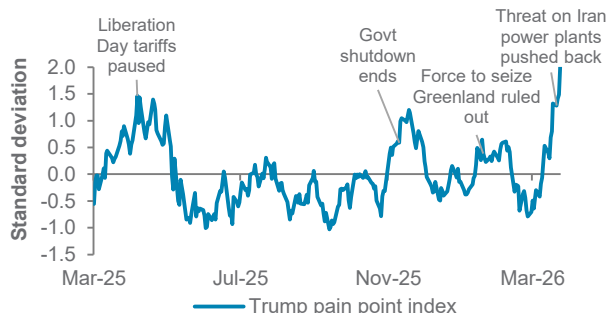
Bearish USD/JPY – strong wage negotiation outcome raises chance of BoJ rate hike

Add gold on dips – gold sales by some central banks likely temporary

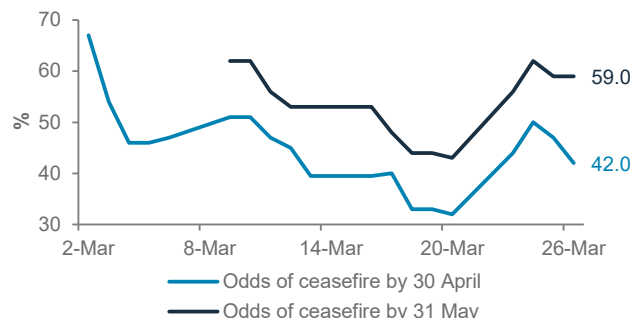
Charts of the week: Pain threshold

Our US 'pain indicator' has soared above levels that has previously led to a reversal in unpopular positions

US 'pain indicator'*



Polymarket odds of a US-Iran ceasefire by 30 April and 31 May



Source: Bloomberg, Standard Chartered; *average of 1m change in S&P500 index (inverse), US 10-year bond yield and presidential approval rating

Editorial

Getting closer, but not all clear

Strategy summary: As the Middle East conflict enters its fifth week, the outlines of a potential resolution are beginning to emerge. The US has initiated ceasefire proposals, signalling that Washington is approaching its political and economic pain threshold. However, Iran has publicly resisted these overtures, maintaining its blockade of the Strait of Hormuz and keeping energy prices elevated. In our view, a ceasefire and quasi-normalisation of traffic through the strait remains weeks away.

Given this, we remain invested in a well-diversified portfolio, while selectively capitalising on dislocations created by market volatility. We would lean into the latest bond yield surge and average into bonds, especially in the US, where the Fed is likely to cut rates in H2 to revive a weak job market. We also see an opportunity to average into gold after the liquidity-driven sell-off.

The road to de-escalation: The emergence of the so-called "Trump put", the propensity to reverse course when domestic pressures reach critical levels, has become apparent. President Trump's approval ratings have fallen to their lowest point in his second term, while equity and bond markets have continued to deteriorate. Historically, the administration has reversed unpopular positions, including Liberation Day tariffs and threatening force to control Greenland, at pain indicator levels considerably below those seen today. The current trajectory makes a policy shift toward de-escalation arguably inevitable.

Depleted military capacity: On the military front, the capacity of both parties to sustain the conflict has been materially diminished. Iran's conventional capabilities have been severely degraded, compelling a shift toward unconventional means, most notably drone operations, the frequency of which has declined markedly over the past week. Meanwhile, the US has reportedly exhausted several years' worth of missile interceptor production within the opening days of the conflict, while its most advanced aircraft carrier has been withdrawn for repairs.

Global strain and the limits of Iranian leverage: While the global economy is beginning to exhibit signs of stress, the

pressure has not yet reached the threshold required to compel Iran to the negotiating table. The ongoing release of 400mn barrels of oil reserves by developed economies and lifting of sanctions on some Russian/Iranian oil has relieved pressure for a few weeks. However, the OECD raised its inflation estimate for Group of 20 economies this year to 4%, while some energy-importing Emerging Markets have begun rationing energy supplies and curtailing activity. Iran is aware that its ability to sustain the blockade is finite. The prospect of global powers applying concerted pressure to reopen the strait is rising.

The principal downside risks to our base scenario remain: i) a near-term escalation, with the US reportedly considering sending another 10,000 troops to the Middle East, and ii) the possibility of intra-Iranian factional conflict, which could complicate safe passage through the strait even after a formal ceasefire. For the present, the latter risk appears contained.

Attractive risk-reward trade-off in bonds: The hawkish repricing of central bank rate expectations, driven by oil prices, has been excessive, in our view. Markets have largely priced in the near-term inflationary impact of higher energy costs, while under-estimating the medium-term drag on growth. The US job market is more fragile today than it was following the 2022 Ukraine conflict (US jobs report for March due next week). We expect the Fed to cut rates in the H2 this year. Thus, the risk profile for bonds is asymmetric: the US 10-year yield may rise a further 50-60bps in a near-term inflation spike, but could fall 200-300bps should job markets deteriorate sharply. Given this, we prefer to average into bonds with maturities of 5-7 years.

Adding gold on dips: The sharp sell-off in gold since the onset of the conflict, driven primarily by a dash for liquidity and profit-taking, has created a compelling entry point for medium-term investors. Gold has since rebounded from its 200-day moving average around USD 4,100/oz. Structural demand from central banks and investors should sustain, given rising geopolitical risks. We retain our 12-month price target of USD 5,750/oz.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Robust manufacturing activity in the US and Euro area

(-) factors: Weak services data in the US and Euro area; hawkish central banks; elevated geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US manufacturing PMI came in above estimates at 52.4; Richmond Fed's manufacturing index beat estimates in March - Euro area manufacturing PMI rose unexpectedly to 51.4 in March - German IFO business climate index beat estimates in March - China's industrial profits beat estimates in Jan-Feb	- US services PMI fell unexpectedly to 51.4 in March - Euro area consumer confidence fell more than expected to -16.3 in March - Euro area services PMI fell to 50.1 in March, below estimates
	Our assessment: Negative – Robust mfg. activity in the US and Euro area vs. weak services data in the US and Euro area	
Policy developments	Fed's Miran said that Fed can still cut rates four times this year as there is little evidence of inflation expectations becoming unanchored	- Fed's Goolsbee signalled chance of rate hikes, as rising oil prices threaten to push inflation higher - ECB President Lagarde said central bank may raise interest rates in April amid inflationary pressures - RBNZ Governor Breman signalled a rate hike if inflation stays higher for longer
	Our assessment: Negative – Rising risk of more hawkish central banks	
Other developments	President Trump postponed military strikes on Iranian power plants for ten days pending outcome of reported talks. He also said Iran allowed 10 ships to pass as a goodwill gesture	- Iran rejected President Trump's 15-point plan to end the conflict - Iran imposed up to USD 2mn transit fees on ships through the Strait of Hormuz
	Our assessment: Negative – Ongoing geopolitical tensions	

US manufacturing PMI rose to 52.4, marking an eighth straight month of improvement while the services' PMI dropped to an 11-month low

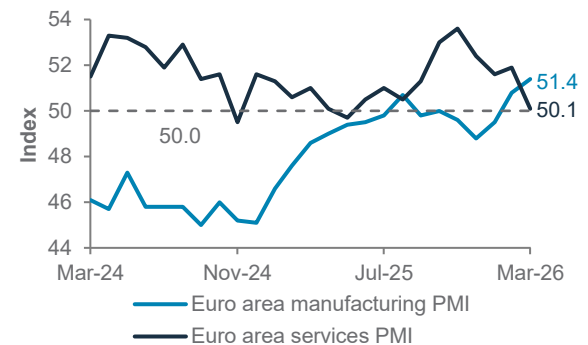
US S&P manufacturing and services' PMIs



Source: Bloomberg, Standard Chartered

Euro area manufacturing PMI rose to a 45-month high, but the services sector PMI slowed sharply

Euro area S&P manufacturing and services' PMIs



Source: Bloomberg, Standard Chartered

China industrial profits rose 15.2% in the first two months of 2026, significantly above the consensus of 0.6%

China industrial profit growth



Source: Bloomberg, Standard Chartered

Top client questions

Q Do you believe central banks will still be net buyers of gold?

Our view: While there are signs of some central bank gold sales recently, we believe these are temporary in nature. We expect Emerging Market (EM) central bank demand to still help push gold prices higher. We retain our 12-month USD 5,750 forecast.

Rationale: We have seen huge gold price volatility, in both directions, in 2026. After rallying almost 30% in January, it fell over 20% in two days and then almost 25% in three weeks in March, after the Middle East crisis began. Gold is now up about 2% year to date.

There is a lot of speculation that gold's decline is due to central bank sales. Regular readers will be aware our bullish gold thesis is premised largely on the outlook for strong EM central bank demand. So, have things changed?

We believe this has been a perfect temporary storm for gold. First, we saw excessive positioning in gold, and then came the Middle East conflict, which led to significant portfolio losses and some margin calls.

For individual investors who needed to sell assets to create liquidity, gold could provide it while not crystallising a loss. This fits with the view that when people are worried about the future, they buy gold; when they are worried about the present, they sell gold.

The Middle East crisis, via higher oil prices, also increased currency and fiscal pressures in many countries. This likely led some countries to sell gold to prop up their own currencies and help protect economies and fiscal positions from sharply higher oil prices.

Finally, central banks with purchasing capacity were likely dissuaded from continued purchases by the sharp rise in prices in January. Of course, it is possible that some central banks will look at gold's volatility and recalibrate long-term gold allocation targets. However, we see the EM central bank demand for alternatives to Developed Market (DM) bond markets generally, and USD assets in particular, as being undimmed, and maybe even increased, following the Middle East conflict.

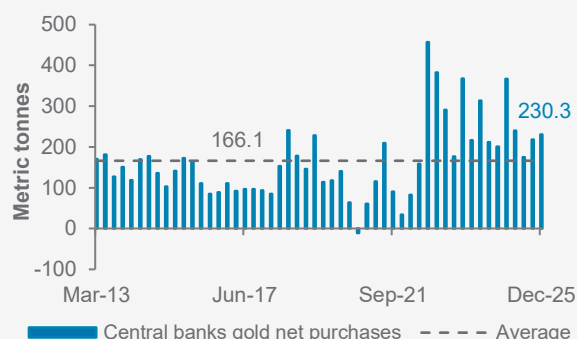
So far, the numbers of central bank gold liquidation being touted look small relative to the net 250 tonnes being bought on average every quarter by central banks since the Russian central bank was sanctioned in 2022. Therefore, we continue to expect this to drive gold prices higher in the coming months and years. We have a 12-month target of USD 5,750/oz.

However, the path is likely to be volatile and the World Gold Council's quarterly demand data, likely out in April, will be interesting reading. We expect USD 4,100/oz to hold on the downside.

— **Steve Brice**, Global Chief Investment Officer

Central banks have dramatically accelerated gold purchases since the Russian central banks were sanctioned in 2022

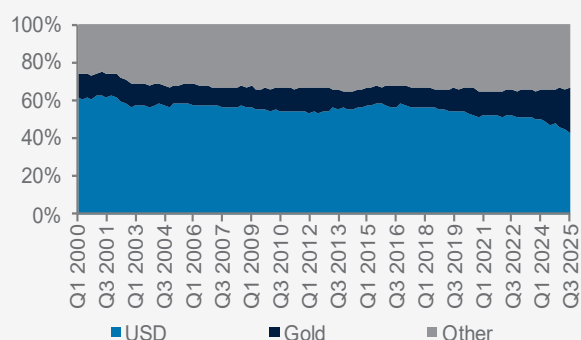
Global central bank demand, net quarterly purchases



Source: World Gold Council, Standard Chartered

Central banks still keen to diversify away from USD assets in their reserves

Gold as a percentage of central bank reserves



Source: IMF, World Gold Council, Standard Chartered

Top client questions (cont'd)

Q What is the impact of the Middle East conflict and China's tech earnings on Asia ex-Japan (AxJ) equities?

Our view: AxJ earnings trend remains strong. We are Overweight AxJ, especially Taiwan equities. Hang Seng Tech Index (HSTECH) earnings face near-term weakness, but we remain positive on its growth outlook.

Rationale: AxJ equities' earnings growth estimates rose strongly in early 2026. Since the Middle East conflict began, 2026 growth expectations have stalled (from 34.3% to 35.2%), while 2027 growth estimates have continued to rise (from 16.2% to 17.6%). Although AxJ relies heavily on Middle Eastern oil supply, the earnings impact remains limited. Positive growth trend remains, led by semiconductor and memory chips amid strong AI capital expenditure (capex). We're Overweight Taiwan equities, mostly due to the chip industry.

Major Chinese internet and tech firms' earnings show heavy AI investment, eroding near-term profits. High memory chip prices have raised tech hardware costs. 2026 HSTECH index earnings growth has fallen from 34.7% to 21.5%. However, monetisation efforts could materialise in 2027, with growth expected to rise from 32.7% to 37.2%. We have a positive HSTECH growth outlook, given reasonable valuations.

— Fook Hien Yap, Senior Investment Strategist

Q How might Japan's 'Shunto' results and inflation affect the Bank of Japan's (BoJ's) rate path, the JPY and Japan equities?

Our view: Strong 'Shunto' wage outcomes increase likelihood of an early BoJ rate hike. USD/JPY outlook remains bearish. We recommend maintaining a core allocation to Japan equities.

Rationale: Stronger-than-expected January 'Shunto' (Japan's annual spring wage negotiations) wage gains reinforce the BoJ's assessment that the wage-price inflation cycle is gaining traction. Concurrently, the Iran crisis is adding inflationary pressure. These factors increase the risk of a BoJ rate hike before H2 2026. However, oil prices will stabilise if crisis ends, containing inflationary impact.

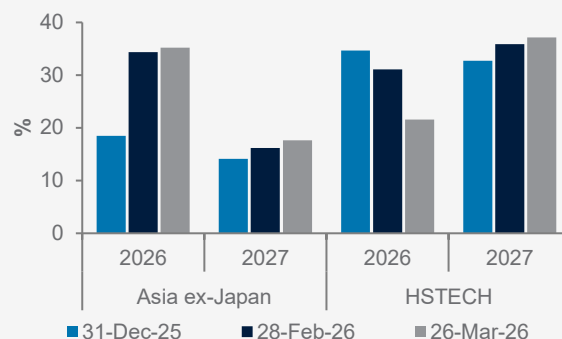
Despite robust wage growth, we believe the BoJ prefers a sustained domestic consumption recovery before further policy normalisation. USD/JPY upside seems limited around 160 due to FX intervention risk. We expect the pair to test support at 156. Wage gains and reflation are likely to support Japan equities earnings growth. High energy prices are a near-term headwind, but manageable if the conflict eases soon. Thereafter, the Takaichi government's fiscal stimulus should be positive for corporate Japan.

— Ray Heung, Senior Investment Strategist

— Iris Yuen, Investment Strategist

AxJ earnings growth revised higher since the start of 2026. Meanwhile, HSTECH has seen 2026 growth estimates cut, 2027 estimates upgraded

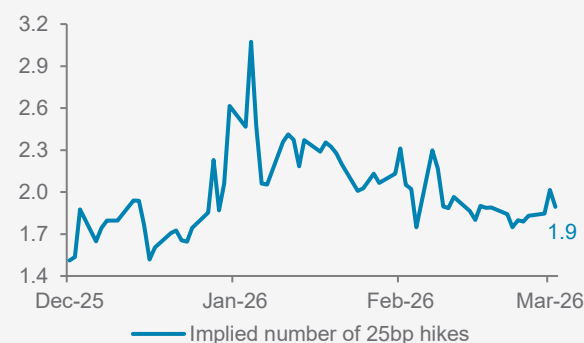
Consensus earnings growth for MSCI AxJ and Hang Seng Tech indices on various dates



Source: Bloomberg, Standard Chartered

Markets expect two 25bps BoJ rate hikes by end-2026 – in line with our expectations

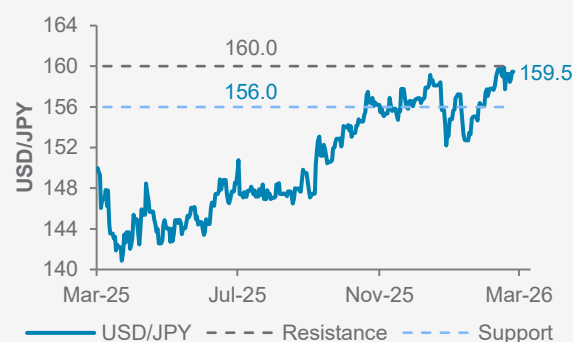
Market-implied number of 25bps hikes by year-end



Source: Bloomberg, Standard Chartered

USD/JPY is exposed to downside risk

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How would damages to oil and gas (O&G) infrastructure change your long-term view on oil and economic growth, especially of the net importing regions?

Our view: *Persistent damage to infrastructure, not temporary disruptions, drives a 'higher-for-longer' oil regime, creating an asymmetric growth impact for import-dependent economies.*

Rationale: The Strait of Hormuz closure – removing c.16mb/d of crude flows – represents a supply shock. However, historically, it is not the disruption itself, but the persistence of supply impairment that drives long-term macro-outcomes. Temporary shocks are absorbed through inventories and policy responses, but damage to O&G infrastructure raises the marginal cost of supply and reduces spare capacity, reinforcing a 'higher-for-longer' oil price environment.

The macro impact is highly asymmetric. Net energy importers, especially in Asia and Europe, face significant trade shock risk, with higher oil prices feeding into inflation, currency pressure and growth. Asia's exposure is structural, given its reliance on imported crude, while Europe's vulnerability is compounded by limited domestic energy capacity, as seen during the 2022 energy crisis.

The US, while historically very sensitive to oil shocks, has seen reduced energy intensity and now benefits from its net petroleum exporter status. This provides a partial offset through the domestic energy sector, although higher fuel costs still weigh on consumption and financial conditions. We recommend inflation hedges, such as US Treasury Inflation-Protected Securities (TIPS), which offset upside inflation risks driven by sustained oil price pressures

— Anthony Naab, CFA, Investment Strategist

Q Has the 'buyback' equity theme proven to outperform at times of stagflation and/or recession? What is the rationale of excluding the US from this theme?

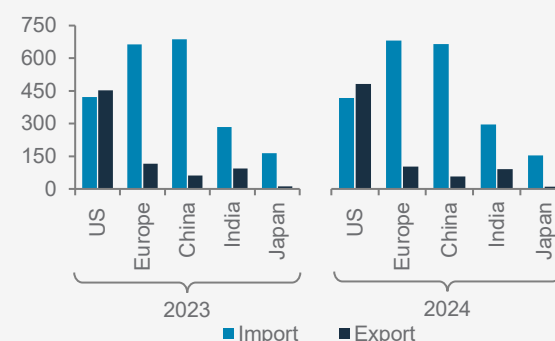
Our view: *Global ex-US buyback outperforms at times of rising stagflation risk.*

Rationale: There is no clear evidence the 'buyback' theme consistently outperforms the MSCI ACWI ex-USA Index during recessions, based on the sole post-2008 Global Financial Crisis 2020 pandemic episode. That said, the theme has delivered superior performance over the past one, three and five years – periods that broadly coincided with elevated stagflation concerns. Our base case remains a 'soft landing', with recession risks contained despite ongoing geopolitical uncertainties. Resilient economic growth should continue to support shareholder returns.

Beyond signalling management confidence, buybacks help cushion portfolios against volatility by reducing share supply, offering a stabilising and defensive exposure to portfolios while retaining participation in equity upside. The strategy focuses on companies

Elevated oil prices would lead to asymmetric growth impact, disproportionately weighing on import-dependent economies relative to the US

Oil trade (mn tonnes), 2023 - 2024



Source: 2025 Energy Institute Statistical Review, Standard Chartered

Global ex-US buyback equity theme outperforms at times of elevated stagflation risk

1-, 3- and 5-year performance of MSCI World ex-US vs Nasdaq International Buyback Achievers Net Total Return indices

Period (as of 26-Mar-2026)	Total return of MSCI World ex-US index	Total return of Nasdaq International Buyback Achievers index
1-year	21.0%	25.0 %
3-year	59.1%	91.1%
5-year	54.8%	66.3%

Source: Bloomberg, Standard Chartered

that have reduced shares outstanding by at least 5% over the past year.

We favour non-US regions, given more pronounced corporate activity. In Europe (c.52% of the theme), members of the Stoxx Europe 600 Index announced a record EUR 85.7bn in share repurchases in January-February 2026 (source: Barclays). A sizeable pipeline of approved buyback programmes yet to be executed should continue to support the theme's upside in Q2 and beyond. This contrasts with the US, where corporate cash flows are increasingly directed towards AI-related capital expenditure (capex), limiting near-term buyback momentum.

— Michelle Kam, CFA, Investment Strategist

Q The UK 10-year government bond (gilt) yield hit the highest level since Q3 2008. Will this bond market sell-off continue? What are the implications for the GBP?

Our view: GBP-based investors can consider gradually scaling into UK gilts, focusing on 5-7-year maturities. Our negative GBP/USD view means gilts are still unattractive for USD-based investors. GBP/USD faces downside risk, with support at 1.3220

Rationale: The UK imports over 40% of its energy needs. The Middle East conflict is thus expected to add to inflationary pressures. 10-year gilt yields briefly breached 5% before paring gains and have since settled below 5%. Our base case of a conflict de-escalation in the coming weeks – supported by reports of US-Iran ceasefire talks – implies the inflationary impact is likely to be more transient.

While the UK has one of the highest government debt-to-GDP ratios, last autumn's fiscal budget provided reassurance around fiscal discipline. This should help anchor long-end yield expectations. Market volatility is likely to persist until geopolitical risks subside, reinforcing our preference for GBP-based investors to scale into gilts, rather than adopt a fully front-loaded approach. We emphasise maintaining exposure in the 5-7-year maturity bucket, which we believe offers the most attractive risk-reward for GBP-based investors.

UK inflation stands at 3% y/y, remaining above the Bank of England's (BoE's) 2% target, but is relatively stable, likely reducing the urgency for immediate interest-rate adjustments. We see renewed GBP/USD selling pressure emerging amid concerns around growth and consumption, as recent data indicates a surge in input prices.

— Ray Heung, Senior Investment Strategist

— Iris Yuen, Investment Strategist

UK bond volatility to persist but yields to decline as Middle East conflict de-escalates. Short-end yields are likely to fall more than long-end yields

UK 10- and 2-year government bond yields and their interest rate differential



Source: Bloomberg, Standard Chartered

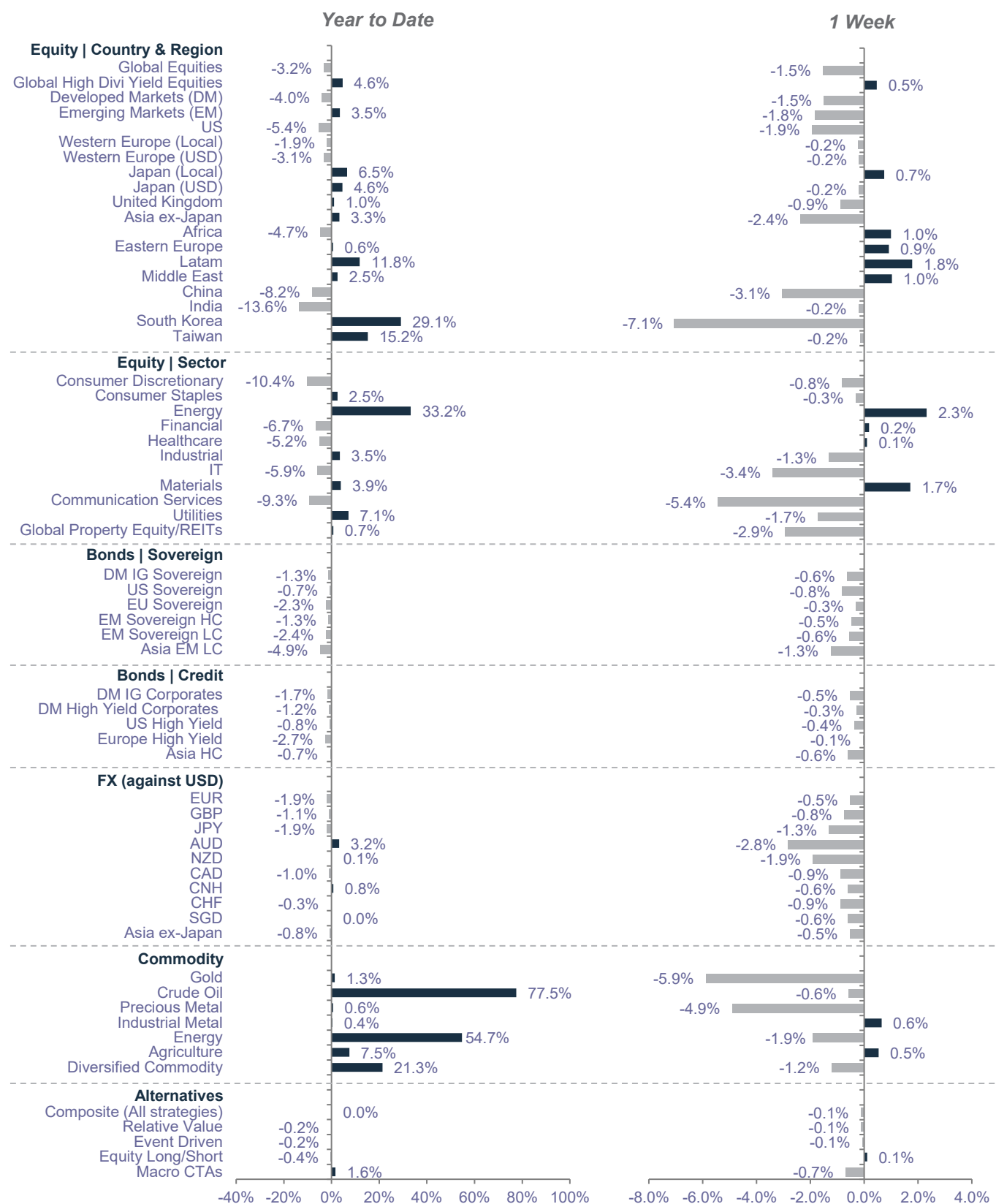
We are bearish GBP/USD, with support at 1.3220

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 26 March 2026; 1-week period: 19 March 2026 to 26 March 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ▼	US Healthcare ▲
UK ▼	US Utilities ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	
Other EM ◆	China Communication ▲
	China Technology ▲
Bonds ▼	China Healthcare ▲
Credit	
Asia USD ◆	Alternatives ◆
Corp DM HY ▲	
Govt EM USD ▲	Gold ▲
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 6,795

Technical indicators for key markets as of 26 Mar close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	6,477	6,316	6,795	19.3	1.3
STOXX 50	5,566	5,229	6,052	14.6	3.3
FTSE 100	9,972	9,450	10,715	12.8	3.6
TOPIX	3,643	3,414	3,905	16.8	2.4
Shanghai Comp	3,889	3,723	4,126	13.0	3.0
Hang Seng	24,856	23,699	26,519	10.7	3.4
Nifty 50	23,306	21,968	25,149	17.7	1.7
MSCI Asia ex-Japan	941	889	1,023	12.4	2.2
MSCI EM	1,448	1,364	1,579	11.8	2.7
Crude oil (WTI)	94.5	65.6	121.4	na	na
Gold	4,376	3,844	5,164	na	na
UST 10Y Yield	4.41	4.08	4.59	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Economic Confidence	Mar	–	98.3
	CNH	Manufacturing PMI	Mar	50.2	49.0
TUE	CNH	Non-manufacturing PMI	Mar	50.0	49.5
	EUR	CPI y/y	Mar P	–	1.9%
	EUR	CPI Core y/y	Mar P	–	2.4%
	CAD	GDP y/y	Jan	–	1.0%
	USD	Conf. Board Consumer Confidence	Mar	88.8	91.2
	USD	JOLTS Job Openings	Feb	–	6946k
WED	EUR	Unemployment Rate	Feb	–	6.1%
	USD	ADP Employment Change	Mar	–	63k
	USD	Retail Sales Control Group	Feb	–	0.3%
	USD	ISM Manufacturing	Mar	52.1	52.4
THU	USD	Initial Jobless Claims	28-Mar	–	–
	USD	Continuing Claims	21-Mar	–	–
FRI/ SAT	USD	Change in Nonfarm Payrolls	Mar	51k	-92k
	USD	Unemployment Rate	Mar	4.4%	4.4%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
 P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 26 Mar close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.76
Global Equities	●	→	1.52
Gold	●	↑	1.93
Equity			
MSCI US	●	↓	1.42
MSCI Europe	●	↑	1.59
MSCI AC AXJ	●	↑	1.69
Fixed Income			
DM Corp Bond	●	↑	1.65
DM High Yield	●	↑	1.66
EM USD	●	↑	1.62
EM Local	●	↑	1.55
Asia USD	●	↑	1.76
Currencies			
EUR/USD	●	→	1.48

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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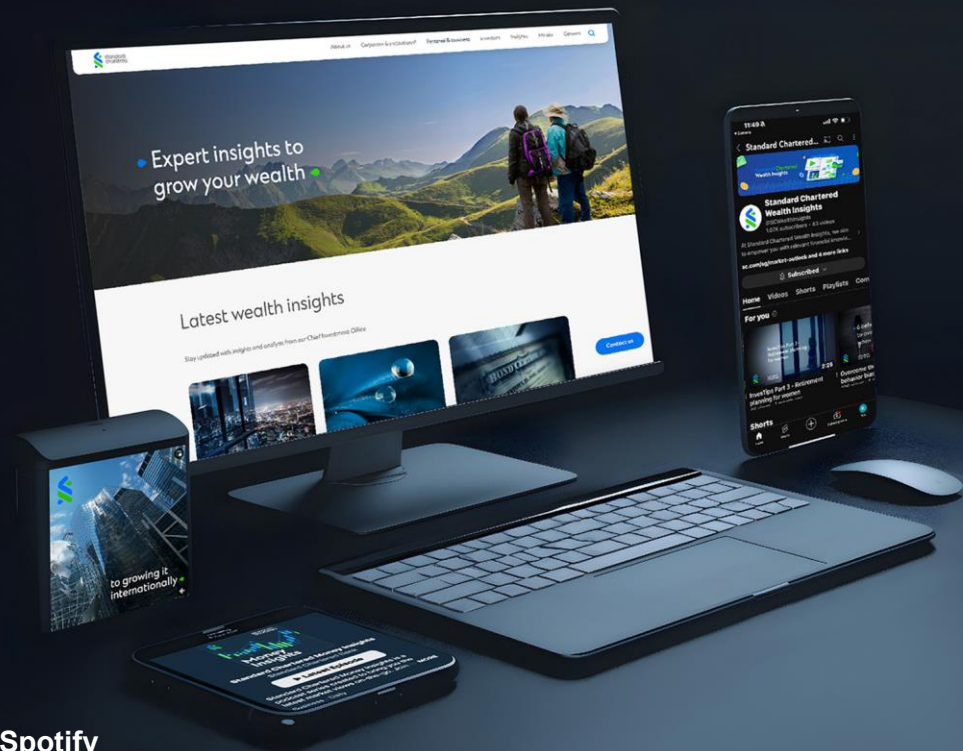
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